SUMMARY · MK 1 ORGANIZATIONAL BEHAVIOR & MANAGING PEOPLE · WEEK 9

Organization Design & Strategic Workforce Planning

The opening puzzle: if everyone is competent and working hard, why does the organisation still fail to deliver? The answer often lies beyond individual performance — in organisation design: how work, roles, authority and coordination are arranged. This week follows the storyline strategy → organisation design → capabilities → workforce plan → execution. It covers what organisation design is, Galbraith's Star Model, structural and operating questions, four structures (functional, divisional, matrix, platform/network) and their trade-offs, decision rights and a decision architecture, centralise vs decentralise, and the "hidden operating model" (cross-functional processes, incentives, informal networks). Part two builds strategic workforce planning: six steps, capability vs headcount, a workforce demand model, three scenarios, the supply side, five responses to a gap (build, buy, borrow, bot, bind), making it financially credible, and what to measure 90 days after a reorganisation.

Material

1 The opening puzzle and today's storyline

The opening puzzle

"If everyone is competent and working hard, why does the organisation still fail to deliver?" — Think beyond individual performance.

Earlier weeks focused on individuals and teams (personality, motivation, leadership, power). This week moves up a level: the **system** people work in. Great people in a bad system will be beaten by the system.

01 Strategy → 02 Organisation design → 03 Capabilities → 04 Workforce plan → 05 Execution

By the end you should be able to: diagnose a misfit between strategy and organisation design; compare structural options and their trade-offs; identify decision-rights and coordination bottlenecks; build a basic strategic workforce plan; and recommend a feasible 90-day intervention.

Provocation

"The organisation chart tells you who reports to whom. It rarely tells you how work really gets done." Missing from the chart: decision flows, information flows, incentives and informal networks.

2 What organisation design is, and Galbraith's Star Model

Organisation design is:

- A *deliberate* configuration of work, roles, authority and coordination.
- A choice about how decisions are made and escalated.
- A way to align incentives, information and people with strategy.
- A set of **trade-offs** — not a search for one perfect structure.

Jay Galbraith's Star Model names five points that must be aligned:

1. Strategy

Direction and how to win. Sets the design criteria: what the organisation must be good at.

2. Structure

Where power and decisions sit: grouping of units, span of control, centralisation.

3. Processes

How information and decisions flow across units: planning, budgeting, lateral coordination.

4. Rewards

Which behaviours are measured and rewarded: KPIs, bonuses, promotion, recognition.

5. People

The skills and mindsets needed: hiring, development, rotation.

The key is **alignment**. Changing structure alone without changing processes, incentives and people often fails. Example: a company creates a cross-product "customer solutions" unit (structure) but still pays bonuses by product line (rewards) — managers keep prioritising their own product.

3 Design questions and four structures with their trade-offs

Design starts from **what problem we are solving**, not from the shape of the chart.

Structural questions

Who owns the outcome? Where does expertise sit? What should be centralised? What needs local autonomy?

vs

Operating questions

Who decides, and when? How does information flow? What gets rewarded? Which capabilities are missing?

Design	Strength	Typical risk	Fits when
Functional (finance, operations, marketing…)	Scale; specialist depth	Silos; slow integration	Few, stable products/markets; efficiency matters
Divisional / BU (by product, region, customer)	Clear market accountability	Duplication; fragmented standards	Many different markets; responsiveness needed
Matrix (two reporting lines)	Shared resources; integration	Dual bosses; conflict	Deep expertise and market focus both needed
Platform / network	Flexibility; speed	Ambiguous interfaces; control	Fast-changing environment; many partners

No structure is problem-free. The choice is which problems you want to own, then adding mechanisms to reduce the weaknesses — e.g. a functional

structure plus cross-functional teams for strategic projects, or a matrix with clear decision-rights rules to reduce dual-boss conflict.

4 Six structure types, including three for international business

The revised slides describe six structure types. The first three are the basic ones:

1 · Functional
The organisation is split by function (finance, operations, marketing, HR) to raise the efficiency of each functional group.

2 · Divisional
Functions are grouped into divisions by product, customer or geography. Each division has its own resources so it can run independently.

3 · Matrix
Reporting lines form a matrix rather than a plain hierarchy. Employees have two bosses (e.g. a function boss and a project boss).

The other three are used by companies operating in many countries. What differs is **the axis of grouping**: by country, "abroad" as one unit, or by global product line.

Structure	How it works (slides)	Slide example	Fits when*	Risk*
4 · Multidomestic (decentralised)	Strategy and operations are adapted to each local market, because culture, law, consumer preferences and business practice differ a lot between countries.	Nestlé	Local tastes are very strong (e.g. food and drink)	Functions duplicated in every country; high cost; weak global scale

5 · International division	One separate division runs all business outside the home country: sales, marketing, distribution, sometimes production.	Ford Motor Company	The company is just starting to go international; foreign sales are still small	Domestic and international units compete for resources; knowledge doesn't flow; it becomes a bottleneck as foreign business grows
6 · Global product division	Managed by product line worldwide, not by country. Each product category keeps deep expertise to compete globally.	Procter & Gamble (P&G)	Very diverse products, each needing high specialisation	Less responsive to local needs; product divisions may duplicate functions in the same country

*The "fits when" and "risk" columns are added analysis, not from the slides.

How to remember

The question is the same as for the first four structures: where do you need scale (centralise by product/function) and where do you need local response (decentralise by country)? Multidomestic = most local; global product division = most global; international division = an early stage in between.

5 Decision rights and a decision architecture

A decision-rights test

"If two executives both think they own a decision, nobody really owns the outcome." Where are decisions getting stuck?

The slides' practical decision architecture separates roles in every important decision:

01 Input — many voices: "What do we need to know?"

→ 02 Recommend — one recommender: "What do we propose, and why?"

→ 03 Decide — one decision maker: "Which option do we commit to?"

→ 04 Execute — the delivery team: "Who delivers, and by when?"

→ 05 Review — owner and governance: "Did it work, and what do we learn?"

This resembles Bain's **RAPID**: Recommend, Agree, Perform, Input, Decide. The core of both: every important decision needs *one* person holding the "D". Input from many is good; approval from many is often the source of delay.

Symptom of a decision-rights problem	Fix
Decisions are discussed in meeting after meeting without closure	Name one "Decide" owner and a deadline
Decisions already made get reopened by another unit	Separate "Input" (heard) from "Agree/veto" (must consent) — limit vetoes
Everything escalates to the board	Delegate with clear value/risk thresholds (an authority matrix)
Nobody checks whether decisions proved right	Add a "Review" step with metrics agreed up front

6 Centralise or decentralise?

Reasons to centralise

Economies of scale; common standards and controls; scarce expert capabilities; enterprise-wide risk.

vs

Reasons to decentralise

Local market responsiveness; speed close to customers; context-specific knowledge; clear business accountability.

The answer is rarely "all central" or "all local". It is usually by *type of decision*:

Decision type	Usually	Why
Key raw-material procurement, safety standards, core IT, treasury	Central	Scale, standards, enterprise risk
Local pricing, promotions, customer service, frontline hiring	Local	Speed and context knowledge
Large investments	Local proposes, centre decides within thresholds	Balance local knowledge with capital discipline

In state-owned groups/holdings this question is very real: what the holding controls (e.g. treasury, governance standards, core talent) and what is left to subsidiaries (operations and customers).

7 The hidden operating model

- **Formal hierarchy is only one** of many coordination mechanisms.
- **Cross-functional processes** often determine execution speed more than structure does.
- **Incentives** can reward local optimisation over enterprise value (e.g. procurement judged on lowest price, though cheap inputs raise production cost).
- **Informal networks** can accelerate or obstruct decisions (see Social Network Analysis in MK6 week 8: high-betweenness people are bridges and weak points at once).
- **Governance** should enable sound decisions, not merely add approvals.

≡ **"An organisation can be technically capable — and institutionally unable to act."**

What constrains managerial judgement? Often not a lack of expertise, but layers of approval, conflicting incentives and fear of blame.

8 Executive dilemma: expertise without decision authority

An illustrative composite from the slides — not a claim about any particular organisation.

The strategic problem	The design friction	The people consequence
An energy business needs faster investment decisions to replenish its project pipeline.	Technical teams own the analysis, but approval authority is fragmented across multiple committees.	Strong specialists spend time navigating approvals rather than evaluating opportunities.

Discussion question: reorganise departments, clarify decision rights, or change the approval process first? What evidence would decide?

One way to answer (our analysis): start with **decision rights and the approval process**, not structure. The problem is in the decision flow (many committees), not the grouping of departments; reorganising is costly and slow and can move the problem without solving it. Evidence to gather: decision cycle time per stage, how many committees each project passes, how often proposals are sent back and why, and opportunities lost to delay. Intervention: one "Decide" owner per investment class, value thresholds for approval at each level, and a single integrated forum for cross-functional input. Reorganise only if decisions still stick afterwards because expertise sits in the wrong units.

9 From design to jobs: business process → RASCI → job analysis

! **"A new structure changes nothing until it is written into jobs."**
The questions: what work, with what authority, needing which capabilities?

Business process + organisation structure → RASCI → Job analysis

→ Job description + job specification

1. **Business processes** are where jobs come from. The slides use two references: a *process framework* (the company's standard list of processes) and Porter's *value chain* (primary activities such as inbound logistics, operations, marketing, service, plus support activities such as HR and technology).
2. **The organisation structure** decides which unit runs each process.
3. **RASCI** sets each job's role in every process activity: **R**esponsible (does the work), **A**ccountable (owns the result, only one), **S**upport (helps), **C**onsulted (asked for views), **I**nformed (kept informed).
4. **Job analysis** gathers every R, A and S that lands on one job and produces two documents.

Term (Dessler)	Meaning
Job analysis	The procedure for determining a job's duties and skill requirements, and the kind of person who should be hired for it.
Job description	A list of a job's duties, responsibilities, reporting relationships, working conditions and supervisory responsibilities. One product of job analysis.
Job specification	A list of the job's "human requirements": education, skills, personality and so on. Another product of job analysis.

RASCI example (illustrative, not from the slides) for the activity "design the annual training programme":

Job	Role
Training & Development Supervisor	R — designs the programme
HC Manager	A — approves and owns the result
Training & Development Staff	S — gathers training-needs data
Business unit heads	C — give input on competence needs
Recruitment SPV, Compensation SPV	I — kept informed of the result

Link to decision rights

RASCI at activity level is a detailed version of the decision architecture (Input → Recommend → Decide → Execute → Review). If two jobs are both "A", the decision-rights problem is already built into the job design.

10 Reading a sample job description: Training and Development Supervisor

The slides give a full sample job description in five parts. The format works as a template.

Part A · Identity, summary, tasks

Job ID C303 · Training and Development Supervisor · class Supervisor (03) · Human Capital division (C3). Created 8 January 2019, revised 9 June 2020. **Summary:** design training and development programmes to provide the qualified employees needed. Summary formula = *POACE* (management functions: planning, organizing, actuating, controlling, evaluating) + business process + KPI.

Part B · Authority and work relationships

Authority: spend the training budget within the authority limit. **Horizontal:** Recruitment SPV, Compensation SPV. **Vertical:** reports to the HC Manager; supervises Training & Development Staff. **External:** training consultant.

Tasks (part A)	KPI (output)
Develop training procedure manuals, guides or course materials	Number of modules developed
Monitor training activities or programmes	Training reports
Select and assign instructors	Instructor readiness for training

Parts C and D · Soft and managerial competencies (number = required proficiency level):

Type	Competency	Level	Expected behaviour

Core	Organizational Commitment (OC)	4	Self-sacrifice; more concerned about the company's problems
	Concern for Order (CO)	3	Rechecks individual assignments and the validity of information from others
	Customer Service Orientation (CSO)	3	Takes responsibility for risks; solves customer problems thoroughly
Functional	Relationship Building	4	Keeps up relationships with friends and customers outside work
	Teamwork	3	Asks for ideas and opinions before deciding; invites every staff member to contribute
	Analytical Thinking	4	Sees multilevel relationships; breaks problems into manageable parts
Managerial	Directiveness	3	Demands high performance; sets standard outcomes and enforces direction
	Team Leadership (TL)	4	Uses complex strategies to lift group morale and productivity
	Developing Others (DEV)	4	Reassures and encourages; gives personal advice for improvement

Part E · Hard competencies and working conditions: at least 3 years in the HC division; bachelor's in management; ERP software (Oracle PeopleSoft, Microsoft Dynamics) and computer-based training software (Adobe Captivate, Cornerstone OnDemand, Cornerstone Learning, Moodle, SyberWorks). Working conditions: high comfort (indoor, fully equipped, set schedule), high safety, low hazard (no corrosive chemical contact).

≡ **Why this document matters**

Parts A–B are the *job description* (what the job is). Parts C–E are the *job specification* (what kind of person it needs). The same document drives

recruitment and selection (Week 10), training (level gaps), appraisal (KPIs) and pay (job class).

11 Strategic workforce planning: six steps and capability vs headcount

01 Business scenarios → 02 Critical work → 03 Demand → 04 Supply → 05 Gaps → 06 Actions

From organisation design to workforce planning: once we know how the organisation must work, the next question is **which capabilities, how many, when, and from where**.

Headcount view

How many employees? Which departments? Current vacancy rate? Average cost per employee?

vs

Strategic capability view

What work must be done? Which skills are scarce? Where is critical experience? What can be automated or partnered?

Headcount is not capability. Two firms with 1,000 employees can differ hugely in capability. A plan that only counts heads cuts evenly in an efficiency drive and loses scarce expertise; a capability-based plan protects critical roles.

12 The demand model, three scenarios, and the supply side

Driver	Illustrative question	Planning implication
Volume	How many projects / customers?	Capacity by role
Productivity	Output per person / team?	Process & technology
Skill mix	Which expertise is critical?	Build / buy / borrow
Timing	When will demand materialise?	Lead times & sequencing

Risk	What if the scenario changes?	Options and triggers

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People needed (FTE) = Volume × Work hours per unit ÷ Productive hours per person per year
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Three scenarios, not one forecast: base case, upside case, downside case. A good plan prepares actions for the base case and *triggers* to switch: e.g. "if three extra projects are approved, activate the expert-contractor agreement".

Internal supply

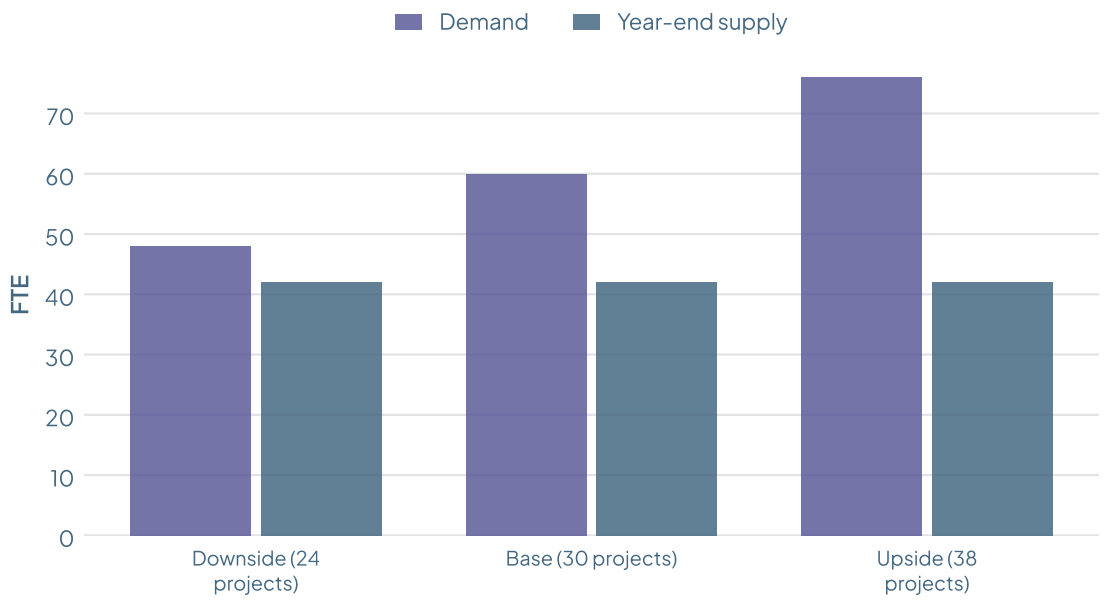
Skills and proficiency; retirement / attrition; mobility and redeployment; leadership bench (successor readiness).

vs

External supply

Labour-market availability; hiring lead time; contractors and partners; education / talent pipelines.

Example engineer gap by scenario (illustrative)



Supply stays at 42 FTE after attrition and retirement; gaps of 6 / 18 / 34. See the practice in the Cases tab.

13 A sample gap assessment and the transformation dilemma

A gap assessment compares **demand in 3 years** with **current supply** for each capability, then sets a response. The slides' fictional example:

Capability	Demand in 3 yrs	Current supply	Gap / action
Subsurface analytics	High	Medium	Upskill + selective hire (build + a little buy)
Project delivery	High	Low	Build a PMO + partners (build + borrow)
Digital operations	Medium-high	Low	Reskill + recruit (build + buy)
Stakeholder engagement	High	Medium	Develop + redesign roles (build + redesign)

The pattern: a small gap (medium → high) can be closed by internal development; a big gap (low → high) needs a mix, because build alone is too slow.

> ! **Executive dilemma: transformation without workforce readiness** (illustrative composite)
> **Ambition:** a diversified group launches a digital operating model and sets up a transformation office.
> **Gap:** the new model needs data-product owners, change leaders and frontline process-redesign skills.
> **Risk:** headcount stays the same; job titles change, but capabilities, incentives and workflows do not.

A sample answer (analysis, not from the slides):

Role	Response	Why
Data-product owner	Build (+ a little buy)	Needs internal business knowledge; hire 1–2 seniors as coaches
Change leaders	Build + borrow	Short-term consultants while internal leaders are prepared
Frontline process redesign	Build + redesign workflows	Training alone fails if workflows and incentives stay the same
High-volume routine work	Bot	Automation frees capacity for the new roles

90-day measures: critical roles filled by people with verified competence; processes actually redesigned (not just renamed); new KPIs in use in appraisals.

14 Five responses to a gap: build, buy, borrow, bot, bind

Response	Meaning	Strength	Weakness
Build	Develop existing people (training, rotation, mentoring)	Loyalty, culture kept, often cheaper	Slow — takes time to competence
Buy	Hire from outside	Fast access to ready expertise	Costly, culture-fit risk, tight talent market
Borrow	Contractors, consultants, partners, secondments	Flexible, suits temporary/upside needs	Knowledge may leave with them
Bot / automate	Automation and technology replace part of the work	Permanent productivity gain	Upfront investment, process change, impact on staff
Bind / retain	Keep critical talent (career, pay, recognition)	Prevents new gaps	Needs fair, clear differentiation

Making the plan financially credible:

- Translate roles into workload, productivity and cost assumptions.
- Separate one-off transition costs (hiring, training) from recurring costs (salaries, contracts).
- Compare building capability with outsourcing and technology options.
- Model uncertainty and *time-to-competence*.
- Tie the plan to business outcomes — not training hours.

15 The most common failure and what to measure 90 days later

The most common failure

"We reorganised the boxes. The decisions, incentives and skills stayed the same."

A reorganisation that only changes the chart almost always fails because the other four points of the Star Model didn't change. So a 90-day intervention should be measured by **behaviour and results**, not by finishing a new chart.

Area	Example 90-day measures
Decisions	Cycle time of key decisions; number escalated; number reopened
Coordination	Hand-off time between functions; share of cross-functional projects on time
Incentives	Are the new KPIs live and used in appraisals?
Capability	Critical roles filled; successor readiness; critical-talent attrition
Business results	Early indicators tied to strategy (e.g. projects passing investment decision)

A simple formula for a 90-day intervention

One clear strategic problem → one or two design changes (decision rights, process, incentives) → a named owner → 3–5 measures reviewed monthly.

16 Debrief: common traps, manager vs HR roles, and the 90-day roadmap

Five common traps:

Trap	Why it's wrong
"Reorganise first, diagnose later"	A new structure may not address the real problem
"Hire more people" without workload evidence	Headcount isn't capability; first calculate volume and productivity

"Centralise everything" without decision-speed analysis	Control rises, but local decisions can become very slow
"Digitalise" without redesigning work and skills	New technology on old workflows doesn't change results
"Cut costs" without identifying strategic capabilities	You may cut scarce talent the strategy actually needs

Who owns what?

Business leaders

Define strategic work and outcomes; own decisions and accountability; develop and deploy talent; remove coordination barriers.

vs

HR / people function

Model workforce supply and gaps; design talent systems and pathways; support reskilling and sourcing; track workforce and capability data.

The 90-day roadmap:

Days 1–30 · Diagnose → Days 31–60 · Design → Days 61–90 · Pilot

Phase	Example activities
Diagnose (1–30)	Map stuck decisions, measure cycle times, gather workload and capability data
Design (31–60)	Set decision rights, choose the operating model, draft the build/buy/borrow/bot/bind plan
Pilot (61–90)	Test in one unit or one decision type, measure indicators, fix before scaling

The Week 9 takeaway

"Design is not about boxes. It is about making the right work possible, and ensuring the organisation has the people to do it."

Questions to take away: Who has authority, and who really influences the decision? Which capabilities make our strategy executable? Where does central control add value, and where does it destroy speed? Are we planning

for jobs as they exist, or work as it will evolve? How would we know the redesign actually worked?

Key takeaways

1. Organisations can fail even with competent people: the problem is often design (work, roles, authority, coordination).
2. Organisation design = a deliberate configuration; a set of trade-offs, not one perfect structure.
3. Galbraith's Star Model: strategy, structure, processes, rewards, people — they must align.
4. Functional (scale vs silos), divisional (market accountability vs duplication), matrix (integration vs dual bosses), platform (speed vs control).
5. Every important decision needs one "Decide" owner: input → recommend → decide → execute → review.
6. International structures: multidomestic (most local, Nestlé), international division (early stage, Ford), global product division (most global, P&G).
7. Jobs come from business processes: process + structure → RASCI → job analysis → job description (what the job is) + job specification (what person it needs).
8. Centralise for scale, standards, scarce expertise, enterprise risk; decentralise for speed, local context, accountability.
9. The hidden operating model: cross-functional processes, incentives, informal networks, governance.
10. Strategic workforce planning: scenarios → critical work → demand → supply → gaps → actions. Headcount ≠ capability.
11. Five gap responses: build, buy, borrow, bot, bind. The plan must be financially credible with triggers between scenarios.
12. Common failure: reorganising the boxes without changing decisions, incentives and skills. Measure behaviour and results within 90 days.

13 90-day roadmap: diagnose (1-30) → design (31-60) → pilot (61-90). Business leaders own decisions and talent; HR models supply and designs talent systems.

Case studies

Case & worked answers

Week 9 case: Nusantara Energy Group (fictional)

An integrated Indonesian energy group. Its legacy business is the cash engine but is under pressure. Growth options are in gas, geothermal and digital operations. Capital-discipline and governance demands are rising. Projects routinely miss decision gates, and specialist roles are scarce. The board wants a new organisation and a 3-year workforce plan.

Business unit	People	Key challenge
Legacy Operations	2,100	Efficiency; aging skills
Growth Projects	420	Approval delays; delivery
Digital & Analytics	85	Fragmented priorities
Corporate Functions	395	Overlapping controls

Proposal A: centralise

One enterprise project office; shared specialists and data; stronger investment governance. Risk: slower local decisions.

vs

Proposal B: empower BUs

BU-owned project teams; local accountability; faster business decisions. Risk: duplication and weak standards.

! **The CEO's challenge**

"I do not need another beautiful organisation chart. I need projects delivered, risks surfaced early, and scarce talent deployed where it matters."

Rubric: strategic fit 30% · decision clarity 25% · workforce logic 25% · feasibility (sequencing, metrics, risks) 20%.

A sample answer (analysis, not an official key):

1. **Operating model: hybrid.** PMO and investment gates at the centre (capital discipline, scarce specialists shared); project delivery teams owned by BUs (speed and accountability). It takes the strengths of proposals A and B while limiting their risks.
2. **Three decision rights clarified:** (1) investment-gate approval — one "Decide" owner per value limit; (2) allocation of scarce specialists across projects — decided by the PMO; (3) digital portfolio priorities — one owner, not each BU.
3. **Four critical capabilities and responses:** project management (build a PMO + borrow partners), subsurface analytics (build + selective buy), digital operations (reskill from Legacy + buy), stakeholder engagement (build + redesign roles).
4. **Bot and redeploy:** automate routine work in Legacy Operations and Corporate Functions, then move some people to Growth Projects.
5. **Three indicators:** % of projects passing gates on time; investment-decision cycle time; % of critical roles filled by people with verified competence.
6. **90-day roadmap:** diagnose stuck decisions (days 1–30) → design decision rights and the workforce plan (31–60) → pilot on two growth projects (61–90).

Case & worked answers

Practice: a project-engineer workforce plan at an energy SOE

An illustrative practice example, not from the slides. An energy SOE plans next year's need for project engineers. Each project needs about 3,000 engineer hours; one engineer delivers about 1,500 productive hours a year. Project

scenarios: downside 24, base 30, upside 38. There are 50 engineers today; attrition is 10% a year and 3 will retire.

1. **Demand** = projects × 3,000 ÷ 1,500 = projects × 2 → downside **48**, base **60**, upside **76** FTE.
2. **Supply** at year-end = 50 × (1 – 0.10) – 3 = **42** FTE.
3. **Gap**: downside 6, base 18, upside 34.
4. **Responses**: *bind* first (10% attrition = 5 people — keeping 2–3 senior engineers is cheaper than hiring); *build* 8 internal juniors (about 12 months to competence, so start now); *buy* 6–8 experienced engineers for the base case; *borrow* contractors/EPC partners for the gap to upside, triggered "if approved projects > 30"; *bot*: automate technical documents to raise productive hours.
5. **Productivity check**: if automation lifts productive hours from 1,500 to 1,650 (+10%), base demand falls from 60 to about 54.5 FTE — the base gap falls from 18 to about 12.5.

Lesson: the plan is not one hiring number but a mix of five responses with triggers between scenarios — and productivity matters as much as headcount.

Worked examples

Problem 1 · Medium **Computing workforce demand and gap**

A customer-service unit handles 240,000 tickets a year at an average of 30 minutes each. One agent is productive 1,600 hours a year. There are 80 agents today; attrition is 15%. What are the FTE demand, year-end supply and gap? What if a chatbot handles 25% of tickets?

1. ```
   FTE = Volume × Hours per unit ÷ Productive hours per person
   ```
   = 240,000 × 0.5 ÷ 1,600 = 120,000 ÷ 1,600 = **75 FTE**.

2. Year-end supply = 80 × (1 – 0.15) = **68**. Gap = 75 – 68 = **7 FTE**.

3. With a chatbot (bot): human volume = 75% × 240,000 = 180,000 → FTE = 180,000 × 0.5 ÷ 1,600 = **56.25**. Supply 68 → a surplus of about 12 FTE.

4. The surplus doesn't mean automatic layoffs: pause replacement hiring (natural attrition), redeploy to other roles (e.g. complex complaints), and reskill (build).

Answer: Without chatbot: need 75, have 68, short 7. With a 25% chatbot: need about 56, surplus about 12.
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Problem 2 Challenging **Build vs buy: comparing costs**

10 data analysts are needed within 12 months. **Build**: train internal staff at IDR 60m/person, ready after 9 months; 50% productive during training. **Buy**: hire externally, IDR 40m recruitment per person, salary IDR 30m/month higher per person than internal pay, productive immediately. Compare first-year costs (assume an analyst's work is worth IDR 50m/month per person).

1. **Build**: training 10 × 60 = 600. Lost work value over 9 months (50% productive) = 10 × 9 × 50 × 50% = 2,250. Total ≈ **IDR 2,850m**.
2. **Buy**: recruitment 10 × 40 = 400. Salary premium 10 × 12 × 30 = 3,600. Total ≈ **IDR 4,000m** a year — and the premium recurs every year.
3. Build is about IDR 1,150m cheaper in year one and far cheaper afterwards, but slow. A sensible mix: *buy* 2–3 seniors to cover urgent needs and mentor, *build* the rest, and *bind* them once competent so the market doesn't poach them.

Answer: Build ≈ IDR 2,850m vs buy ≈ IDR 4,000m (year one); use a mix.

Practice questions

Try answering first. The answer key is below each question.

1. According to the slides, organisation design is best understood as…

A. Searching for one perfect structure
B. A deliberate set of trade-offs
C. Drawing the org chart
D. Purely an HR matter

Answer: B. Design = configuring work, roles, authority and coordination; there are always trade-offs.

2. The five elements of Galbraith's Star Model are…

A. Strategy, structure, processes, rewards, people
B. Vision, mission, values, culture, KPIs
C. Plan, do, check, act, review
D. Build, buy, borrow, bot, bind

Answer: A. All five must align; changing one without the others often fails.

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3. The typical risk of a functional structure is…

A. Duplication
B. Silos and slow integration
C. Dual bosses
D. Weak control

Answer: B. Its strengths are scale and specialist depth; its weakness, silos.

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4. The structure most prone to dual-boss conflict is…

A. Functional
B. Divisional
C. Matrix
D. Platform

Answer: C. A matrix shares resources through two reporting lines.

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5. Duplication and fragmented standards are the typical risk of…

A. Functional
B. Divisional / BU
C. Matrix
D. Flat hierarchy

Answer: B. Each division builds its own functions for market accountability.

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6. "If two executives both think they own a decision…"

A. …the decision is better
B. …nobody really owns the outcome
C. …it must go to the board
D. …a reorganisation is needed

Answer: B. The decision-rights test: every important decision needs one owner.

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7. The slides' practical decision architecture runs…

A. Decide → input → recommend → review → execute
B. Input → recommend → decide → execute → review
C. Recommend → decide → input → review
D. Review → decide → recommend

Answer: B. Gather input from many voices, one recommender proposes, one party decides, then execute and review.

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8. The reason that best supports decentralising is…

A. Economies of scale
B. Common standards and controls
C. Speed near customers and context knowledge
D. Scarce expertise

Answer: C. The other three are reasons to centralise.

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9. An example of the "hidden operating model" is…

A. Reporting lines on the chart
B. Incentives rewarding local optimisation over enterprise value
C. Department names
D. Headcount

Answer: B. Cross-functional processes, incentives, informal networks and governance aren't on the chart.

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10. In the energy executive dilemma (technical analysis stuck in many committees), the most sensible first step is…

A. Reorganise every department
B. Clarify decision rights and simplify approvals
C. Hire more engineers
D. Add a committee

Answer: B. The problem is the decision flow; measure cycle time per stage before changing structure.

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11. The six steps of strategic workforce planning are…

A. Scenarios → critical work → demand → supply → gaps → actions
B. Hire → train → appraise → promote → retire → evaluate
C. Supply → demand → scenarios
D. Budget → headcount → vacancies

Answer: A. Start from business scenarios and critical work, not headcount.

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12. A question from the capability view (not headcount) is…

A. How many employees?
B. What is the vacancy rate?
C. Which skills are scarce?
D. What is the average cost per employee?

Answer: C. Capability asks what work, which scarce skills, where critical experience is, and what can be automated.

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13. 30 projects × 3,000 hours ÷ 1,500 productive hours per person = … FTE

A. 20
B. 45
C. 60
D. 90

Answer: C. 90,000 ÷ 1,500 = 60 FTE.

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14. Why does a workforce plan use three scenarios?

A. To look thorough
B. A single forecast is almost surely wrong; scenarios + triggers prepare responses
C. The law requires it
D. To raise the budget

Answer: B. Base, upside, downside with triggers to switch.

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15. Using contractors to cover a temporary spike is which response?

A. Build
B. Buy
C. Borrow
D. Bind

Answer: C. Borrow: flexible, but knowledge can leave with them.

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16. The slowest response that preserves culture and loyalty is…

A. Build
B. Buy
C. Borrow
D. Bot

Answer: A. Build needs time to competence; start early.

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17. Making a workforce plan financially credible means all of these EXCEPT…

A. Separating transition and recurring costs
B. Modelling time to competence
C. Judging success by training hours
D. Comparing with outsourcing and technology

Answer: C. Slides: tie it to business outcomes, not training hours.

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18. "We reorganised the boxes, but decisions, incentives and skills stayed the same." This is…

A. A successful reorganisation
B. The most common failure in organisation design
C. A bind strategy
D. Decentralisation

Answer: B. Changing structure alone without the other Star Model elements.

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19. The structure that adapts strategy and operations to each local market (slide example: Nestlé) is…

A. Global product division
B. International division
C. Multidomestic
D. Functional

Answer: C. Multidomestic rests on the belief that culture, law, tastes and business practice differ a lot between countries.

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20. A company just going abroad that sets up one division for all business outside its home country (slide example: Ford) uses…

A. International division
B. Matrix
C. Global product division
D. Platform

Answer: A. The international division runs sales, marketing, distribution and sometimes production outside the home country.

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21. P&G manages its product lines worldwide rather than by country. This is a…

A. Multidomestic
B. Global product division
C. International division
D. Functional

Answer: B. A global product division suits diverse products that each need deep specialisation.

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22. A list of a job's "human requirements" (education, skills, personality) is the…

A. Job description
B. Job specification
C. Job analysis
D. RASCI

Answer: B. Job description = what the job is; job specification = what person it needs. Both come from job analysis.

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23. The slides' path from design to jobs is…

A. Job description → RASCI → business process
B. Business process + structure → RASCI → job analysis → job description & specification
C. Job analysis → structure → business process
D. RASCI → recruitment → structure

Answer: B. Jobs come from processes; RASCI assigns roles per activity, then job analysis pulls them together.

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24. In the sample job description, "spend the training budget within the authority limit" sits in…

A. Authority (part B)
B. Hard competencies (part E)
C. Managerial competencies (part D)
D. Working conditions

Answer: A. Part B covers authority and work relationships (horizontal, vertical, external).

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25. The slides' 90-day roadmap runs…

A. Pilot → design → diagnose
B. Design → pilot → diagnose
C. Diagnose → design → pilot
D. Diagnose → reorganise → evaluate

Answer: C. Days 1–30 diagnose, 31–60 design, 61–90 pilot. "Reorganise first, diagnose later" is one of the traps.

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26. In the Nusantara Energy case, the rubric criterion with the largest weight is…

A. Decision clarity
B. Strategic fit (30%)
C. Workforce logic
D. Feasibility

Answer: B. Strategic fit 30%, decision clarity 25%, workforce logic 25%, feasibility 20%.

Sources

- P3MD Week 9 MK1 — Organization Design & Strategic Workforce Planning (Rev 1)
- Neilson, Martin & Powers (2008), "The Secrets to Successful Strategy Execution", HBR; Galbraith (2014), Designing Organizations (3rd ed.); CIPD, Workforce Planning factsheet; Dessler, Human Resource Management
- Galbraith, J. — Designing Organizations (Star Model); Bain & Company — RAPID decision roles (supporting)